7 Hedge Funds

- **Why do asset pricing researchers study hedge funds?**
  - **The sharpest test of "skill":** hedge funds are the least constrained, most highly paid managers. If anyone can beat the market, they should. But their returns are **option-like**, **illiquid** and **self-reported**, so **measuring alpha is the research problem**.
  - **A laboratory for risk factors:** dynamic, leveraged, long-short strategies carry risks that buy-and-hold indices miss; hedge fund returns forced the literature to build **new benchmarks**.
  - **A data problem in itself:** voluntary reporting creates biases, and illiquid holdings produce smoothed or misreported returns that can manufacture "alpha."
  - **Berk–Green in its purest form:** capacity-constrained strategies, observable flows and explicit fee contracts make hedge funds the natural place to watch **capital chase alpha and erode it**.